costs of printing new currency, dealing with and replacing soiled notes, and detecting and destroying counterfeit notes) and security headaches were compounded.

So, the advantages of moving to a 'less cash'[19] economy for everyone – citizens, banks, security agencies, the RBI, and the government – were clear and evident. The question was, could India do so in a manner that would provide the poorest Indian a workable substitute to cash – digital access to her money, anytime, anywhere, at a zero or very low transaction cost.

The mobile revolution and digital payment networks such as M-Pesa,[20] in other countries, laid out one possible model to adopt. However, the RBI was concerned that this would result in telecom companies functioning as de facto banks, outside the ambit of a regulatory framework. In August 2015, the RBI tried to resolve this problem by issuing licenses to 11 payment banks including India Post, some telecom and e-wallet companies, and various corporate industrial houses.

However, the real breakthrough came with the implementation of the Unified Payments Interface (UPI) on 11 April 2016. At the heart of a good and efficient cashless economy there has to be a trusted, safe and seamless mechanism for bank-to-bank transfers. The RTGS and NEFT systems had provided this for several years in India for larger payments, though at a cost. UPI made swift and seamless bank transfers available to every single retail bank customer in the country, free of cost and for payments as small as ₹1.

Developed by the National Payments Corporation of India (NPCI), UPI is a real time payment system that works by instantly transferring funds between two bank accounts on a mobile platform. Unlike mobile wallets such as Paytm, which take a specified amount of money from users and store this in their own accounts therefore benefitting from the 'float income', UPI withdraws funds directly from the bank account of the payer and deposits these funds instantly into the bank account of the recipient. When launched, it was announced